INS-002 · PROGRAM WHITEPAPER

INSITE™ Development Impact Fee Financing Program | Pre-launch draft v1.0 | HGF Management Company | July 2026

INSITE™ Development Impact Fee Financing Program

Land-secured financing of development impact fees and public improvements for small residential subdivisions in California

Prepared for Dennis Lanni | HGF Management Company | July 2026 | Pre-launch draft v1.0

Every factual claim in this paper traces to a source listed in Section 12. Figures marked as targets or estimates are the founder's working numbers, not quotes or commitments. This draft is subject to bond counsel review before any external use.

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1. Executive summary

California charges some of the highest development impact fees in the nation, and they come due before a single home is built. Large builders absorb this with institutional credit. Small builders, the ones delivering 2-to-50-lot projects, pay with cash or private money that published guides price at roughly 9.5 to 15 percent. Meanwhile, state law has quietly created both the financing tool and the customer pipeline: the Mello-Roos Community Facilities Act (1982) allows impact fees to be financed through a voluntary special tax collected on the county property tax roll, and Senate Bills 684 and 1123 (effective 2024 and 2025) now force cities to approve small subdivisions of ten or fewer lots ministerially, on a 60-day clock.

INSITE is a program administrator, operated by HGF Management Company, built to connect those two facts for the small end of the market. The model: form one Master Community Facilities District per participating jurisdiction, once, with a recorded future annexation area; then annex each small project administratively as its own tax zone, financed by a privately placed, tax-secured note sized to that project alone. Existing statewide programs (SCIP and BOLD) already prove the mechanism at larger scale; INSITE's contribution is an operating model, a standardized document library, and underwriting policies tuned to make the small transaction economical.

Status: pre-launch. A pilot transaction is in preparation on a small finished-lot subdivision in the Sacramento area. No note has closed, no capital purchaser is committed, and every cost and rate in this paper is labeled accordingly.

2. The problem: fees due before revenue

When a developer subdivides land in California, the city approves the map with conditions, and before building permits issue, the developer must pay one-time development impact fees that fund roads, parks, utilities, and public safety capacity for the new residents. The system exists for a structural reason: Proposition 13 (1978) capped property taxes, and charging new development directly became one of the few remaining ways for cities to fund growth. The Mitigation Fee Act (Government Code sections 66000 to 66025) requires each fee to rest on a nexus study connecting the charge to the impact, and AB 602 (2021) requires cities to post fee schedules online and refresh nexus studies at least every eight years.

The amounts are large. Research from the Terner Center at UC Berkeley, commissioned by the State of California, found average impact fees of about $23,455 per single-family home as of 2015, nearly three times the national average, with total development charges in some cities exceeding $150,000 per unit before utility fees. A 2026 Terner analysis of affordable projects built from 2020 to 2023 found impact fees averaging about $19,806 per unit, with 134 projects charged more than $30,000 per unit. A ten-home project can therefore owe several hundred thousand dollars at the permit counter.

For a small builder, the financing menu today is short: drain working capital, or borrow private "hard money" that 2025-2026 rate guides place at roughly 9.5 to 15 percent, with land-secured loans pricing at the expensive end. Both choices shrink the number of homes small builders can deliver.

3. The mechanism: a 44-year-old law, applied with a modern operating model

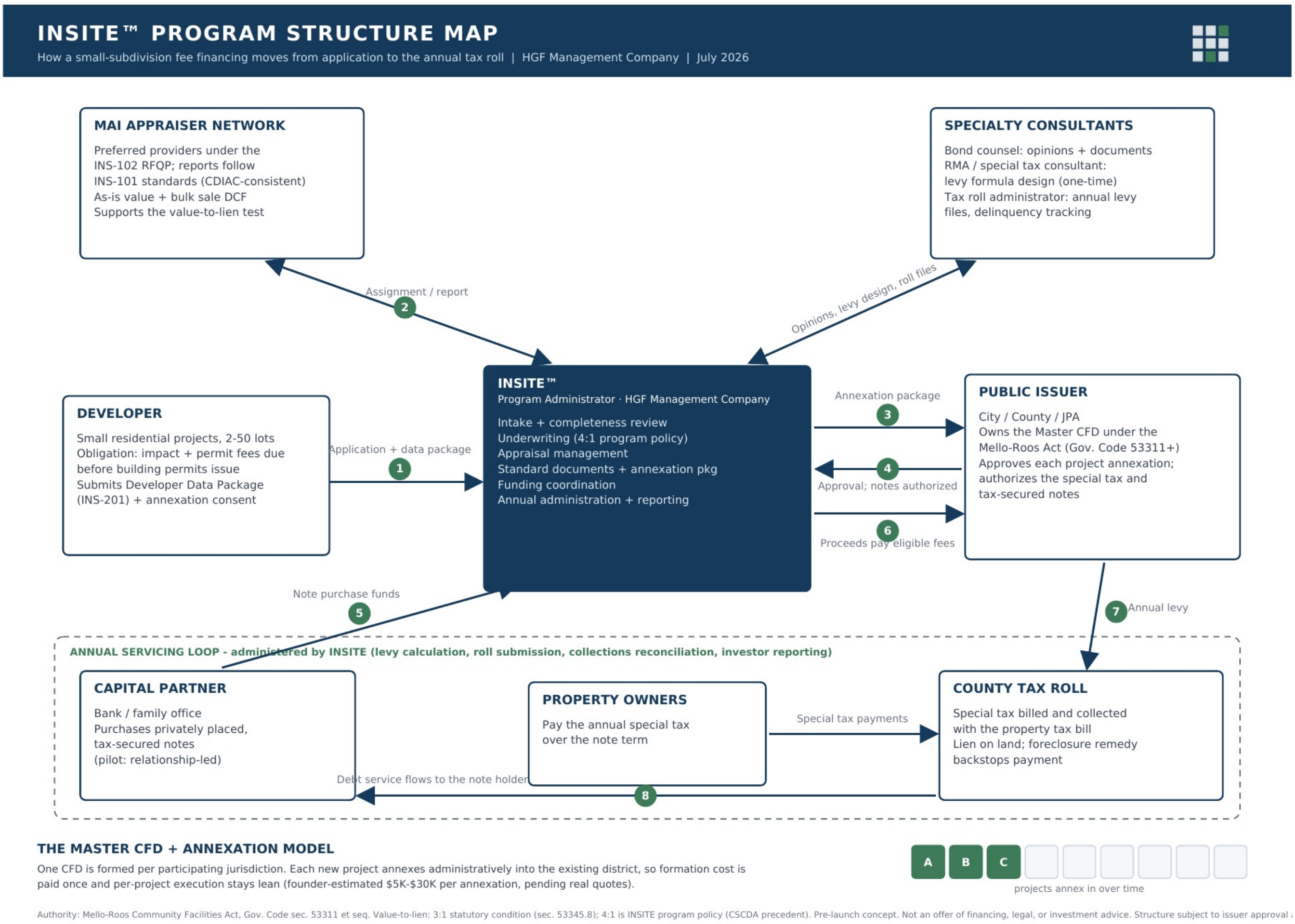
The Mello-Roos Community Facilities Act of 1982 (Government Code section 53311 and following) lets a city, county, special district, or joint powers authority form a Community Facilities District and levy a special tax inside it, subject to approval by two-thirds of the qualified electors. On undeveloped land with fewer than twelve registered voters, the landowners are the electors, one vote per acre, so the developer approves the tax on their own property; no existing homeowner is ever taxed without consent. The approved special tax becomes a recorded lien, is collected with the ordinary property tax bill, carries a foreclosure remedy if unpaid, and can repay bonds or notes over decades. Critically for this program, districts formed under the Act may finance development impact fees themselves, may cover non-contiguous parcels, and may designate a future annexation area into which new territory joins later by administrative action.

INSITE's architecture uses every one of those features:

1. **One Master District per jurisdiction.** Formation takes six months or more and real money, so it happens once per city, with a future annexation area recorded on the boundary map.
2. **One tax zone per project.** Each annexing project becomes its own zone with its own one-page maximum tax table, its own note, and no connection to any other zone's debt. The Act permits annexing territory to carry different tax terms set out in its landowner Unanimous Approval (section 53339.3(d)), and the annexation itself is accomplished by that one-page landowner signature rather than a new election.
3. **Statutory homeowner protections.** Once a home has an occupancy permit, its special tax cannot rise more than 10 percent because a neighbor went delinquent (section 53321(d)); the tax can never be based on property value (section 53325.3); and every owner holds a defined prepayment right to retire the lien early.

None of this is theoretical. The zone-per-annexation pattern operates today in the City of Escondido (Community Facilities District No. 2020-1, which annexes territory by one-page Unanimous Approval), the City of Chula Vista (numbered annexations inside improvement areas, each with its own rates), and the City of Roseville (a master district formed with a designated Future Annexation Area and per-annexation tax terms). INSITE standardizes and administers a structure California already runs.

4. Program structure and roles



The public issuer owns the district and every approval; INSITE does the work around it; specialists carry the functions whose value depends on independence.

Party	Role
Public issuer (city, county, or joint powers authority)	Owns the Master District, adopts local goals and policies, approves each annexation, authorizes the special tax and the notes
INSITE (HGF Management Company)	Program administrator: intake and underwriting, appraisal management, standardized documents and zone exhibits, funding coordination, annual administration and reporting
Independent MAI appraiser (panel per INS-101 and INS-102)	Values each project and supports the value-to-lien finding; never an INSITE employee
Bond counsel (selection in progress)	Legal opinions on validity and, where applicable, tax treatment
Special tax consultant (selection in progress)	Drafts the Rate and Method of Apportionment template and the annexation tax exhibits
Tax roll administrator (selection in progress, contracted first per INS-004)	Annual levy files to the county, collections reconciliation, delinquency tracking
Capital partner	Purchases each privately placed, tax-secured note
County tax collector	Bills and collects the special tax with the property tax bill
Property owners	Pay the annual special tax over the note term; the obligation is disclosed before purchase and is prepayable

A precedent worth naming for public agencies: the City of Elk Grove's own staff report on the existing statewide programs states that the city acts as an intermediary, that no city funds are involved, and that the city "incurs no financial liability or risk by participating." INSITE's structure preserves exactly that posture for its issuers.

5. Underwriting and taxpayer protections

State law conditions land-secured borrowing on a cushion: before notes are sold, the issuer must find the taxed property worth at least three times the debt (Government Code section 53345.8), measured by the assessment roll or an appraisal performed under standards the California Debt and Investment Advisory Commission publishes. INSITE's program policy is stricter: **four times**, the same standard CSCDA adopts in its own goals and policies. CSCDA's policy also caps the total tax burden on an owner-occupied home, all taxes and special taxes combined, at 2 percent of expected value at completion; INSITE treats that as the benchmark and confirms each issuer's own cap before sizing any zone.

Illustrative sizing, labeled as arithmetic and not a quote: a ten-lot annexation financing $250,000 over 30 years at 6 percent carries annual debt service near $18,200; adding administration and a coverage cushion brings the zone's annual requirement to roughly $23,000, or about $2,300 per home per year, tested against the four-to-one appraisal and the burden cap before any exhibit is final. Every appraisal follows the program's written manual (INS-101), assignments run through a standing request-for-qualifications panel (INS-102), and the developer's submission follows a fixed data package so underwriting inputs arrive complete.

6. The market, with the arithmetic shown

From the U.S. Census Bureau's Building Permits Survey, final 2025 data, downloaded and recomputed for this program: California permitted **103,856 housing units** in 2025, of which **62,372 units (60.1 percent)** were in structures of one to four units. County detail from the Census county file (which uses a slightly different estimation method than the state total, as Census documents):

County	1-4 unit permits, 2025
Los Angeles	11,422
Riverside	6,235
Sacramento	4,762
San Diego	4,385
San Bernardino	3,771
Orange	3,106
Kern	3,013
Placer	2,690
San Joaquin	2,522
Fresno	2,068

At an assumed **$25,000 of financeable public fees per unit**, an assumption consistent with the Terner fee research and stated wherever this figure appears, the one-to-four-unit segment alone represents roughly **$1.56 billion per year** of fee obligations statewide (62,372 units times $25,000). Projects of five to fifty units are excluded from this arithmetic because public data cannot separate them from large apartment complexes, which makes the estimate deliberately conservative. Capturing 2 percent of the measured segment would be about $31 million of annual financing volume.

The pipeline is growing by statute. SB 684 (effective July 1, 2024) requires ministerial approval, no hearings, no discretionary review, no environmental review, and a 60-day decision clock, for subdivisions of ten or fewer lots with ten or fewer homes on multifamily-zoned sites up to five acres; SB 1123 (effective July 1, 2025) extends the same path to vacant single-family-zoned lots up to one and a half acres. Cities including Los Angeles have published implementation checklists. The state is mass-producing exactly the project size this program serves, and every one of those projects meets the fee counter at the permit stage.

7. The competitive landscape, stated honestly

INSITE is not the first program to finance impact fees on the tax roll, and materials that claim otherwise would be false. Two statewide programs operate today. **SCIP**, run by the California Statewide Communities Development Authority (a joint powers authority with more than 530 member agencies), finances impact fees and public improvements, primarily through 1913/1915 Act assessments with a district option; its published materials describe financing projects with as little as $500,000 in fees and improvements, a $1,500 application fee, issuance costs around 4 to 5 percent, and pooled bond sales roughly three times a year. **BOLD**, run by the California Municipal Finance Authority, uses Mello-Roos districts and has financed approximately $550 million across more than 65 projects supporting over 12,000 housing units since its first issuance in February 2020, an average near 185 units per project.

The gap is not legal capability; it is economics and cadence. Fixed transaction costs that vanish across 200 homes can consume the benefit across six, and a pooled calendar means a small project may wait months for the next sale. INSITE's design attacks exactly those two frictions: formation cost paid once per jurisdiction, per-project execution reduced to an appraisal, a zone exhibit, and an administrative annexation (founder-estimated at $5,000 to $30,000 per project, pending real vendor quotes), and single-note private placements that close on the project's schedule rather than a pool's.

8. Pilot and rollout

The pilot is a small finished-lot subdivision in the Sacramento area, financing eligible permit and impact fee obligations through the structure described above; specific project details will be published when transaction documents are final. Rollout follows the issuer strategy set out in INS-003: begin with a single city as issuer, keep every document issuer-neutral, expand to neighboring jurisdictions on demand, and form or join a joint powers authority only when defined triggers fire (multiple cities wanting the program without wanting to issue, a willing founding pair of agencies, or purchaser preference for a single repeat issuer).

9. Business model

INSITE is an administrator, not a lender, and never holds the notes. Revenue has two components: transaction fees earned at each funding, and annual administration fees for running the levy, collections reconciliation, delinquency monitoring, and investor reporting for the life of every zone. The Act itself contemplates this: district administrative expenses, including consultants, are recoverable through the special tax (section 53317(d)). Specialist functions follow the sourcing plan in INS-004: independence functions (counsel, appraisal) stay outside permanently; the tax roll administration is contracted first and brought in-house on defined triggers; the standardized document library is owned by the program.

10. Risk factors

A serious reader should weigh these, and the program does: (1) per-project execution costs are a founder estimate until real quotes exist, and the model fails if small-deal costs stay high; (2) no capital purchaser is committed, and appetite for small tax-secured notes is exactly what the pilot must prove; (3) city adoption speed is uncertain, and formation takes six-plus months per jurisdiction until any joint powers structure exists; (4) special taxes are repaid by property owners, and delinquencies, though remedied by the lien and foreclosure process, take time to cure; (5) the program name requires trademark clearance before public launch; (6) school fees, a meaningful share of total fee burdens, are excluded at launch; and (7) the incumbent statewide programs could move down-market, competing directly for the same projects.

11. Program status and what comes next

Proven today: the legal mechanism, the annexation architecture in live districts, the market arithmetic from primary data, and a documented operating library (appraisal manual, request-for-qualifications, data package standards, structure map, and the strategy memos INS-003 through INS-005). Pending: consultant and counsel selection, issuer adoption, a signed term sheet, and the pilot closing. This paper is versioned; v1.1 follows those events.

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